

quarter of FY26, 161% up from ₹986 crore in the same period last year.

Now, this very strategy is under a cloud with fingers raised at the IndiGo's top brass for failing to get their house in order and the DGCA for allegedly letting the airline dictate terms. The IndiGo melt-down has given air to the already simmering discontent among employees, including pilots, who have flagged poor HR policies, allowance cuts, rostering ambiguity and staffing issues.

The Federation of Indian Pilots (FIP) has called the disruption a "pre-planned" act to further delay the implementation of the FDTL norms. It says a shortage of 150-200 pilots wouldn't have led to cancellation of 1,600 flights in a day.

A former top IndiGo executive, who had joined the airline at its launch and left after CEO Pieter Elbers joined in 2022, expresses anguish that the episode has dented the image of the airline built over the past 19 years. In charge of a key department for years, he terms it a complete failure of department heads. "These officers get fancy paychecks for anticipating problems and none could do that. How could the CEO, COO, Operation Control Centre, flight operations and rostering team miss such a big thing? The reasons shared by the CEO with the DCGA look weak," he says.

Months after Elbers joined the airline, several department heads left IndiGo. The former KLM CEO formed a new team to focus on next level growth. However, the employees felt a change in work culture and atmosphere.

"About two-three years back, we could just walk up to operations, engineering and rostering heads. But things have completely changed now. Everything has become formal, creating a kind



"Any kind of action required based on the incompetence of the senior management within IndiGo, we won't hesitate. We want to follow the due process, but we will definitely take whatever action is required"

RAM MOHAN NAIDU

MINISTER FOR
CIVIL AVIATION



"China is perhaps the closest model we can adopt. The country has four big airlines with around 25% share each"

SANJAY LAZAR

AVIATION EXPERT &
CEO, AVIALAZ CONSULTANTS

of fear of being hauled up," says another top former official.

Sanjay Lazar, CEO of Avialaz Consultants, says the internal issues flagged are perhaps the most critical. "The collusion must end, the supervision has to be real and effective," he says.

The airline has roped in Chief Aviation Advisors LLC, led by Captain John Illson, to carry out an independent review of the operational breakdown.

THE IMPACT

The government has capped fares based on kilometres for now. However, the capacity constraints are expected to push up air fares once the caps are removed on high-density metro sectors. IndiGo's 10% capacity cut means 100-200 fewer flights in its daily winter schedule, which not stands at 2,200 flights.

The other three players—Air India, Akasa and SpiceJet—cannot fill the gap, as they are struggling with aircraft availability and supply chain issues delaying the retrofit of aircraft. Air India can increase capacity by 20-25 daily flights. In the case of SpiceJet and Akasa, the number is even less.

Dixit of Elara Securities says none of the airlines can exploit this opportunity. "The Tata group airlines have cut capacity post the June air crash. They first need to fill their own slots. Same with the SpiceJet and Akasa," he says.

According to an industry assessment, a 1% decline in capacity pushes up fares by 1%. The fares were under control earlier partly due to IndiGo. Now, it may also want to charge more to reduce the impact of flight cancellations, additional cost of hiring pilots and falling rupee. For IndiGo, the impact is going to be notable for at least the next two-four quarters. Stability is expected only in later part of FY27, say analysts. IndiGo